

ums above their immediately realizable value. Other things being equal, therefore, an issue with detachable warrants will sell higher than one with a nonseparable right. In view of this fact it may be asked why all subscription warrants are not made immediately detachable, to give the holder the benefit of their superior market appeal. The reason for making a warrant nondetachable is that both the company and the underwriters of the issue wish to avoid the establishment of an unduly low price for its bonds ex-warrants. Such a low price is likely to follow if large purchases of the bond with warrants are made by out-and-out speculators. For these holders, having no interest in the bond as such, are likely to detach the warrant and sell the bond ex-warrants for whatever it will bring. Selling pressure from this source, coupled with the absence of any steady demand for the issue due to lack of "seasoning," may result in so low a price as to constitute an apparent reflection upon the corporation's credit, which is evidently undesirable.

The compromise arrangement—which makes the warrant detachable only after an interval—is based upon the assumption that, after the security has had time to become fairly well known in the investment world, a proper price may more readily be established for the issue ex-warrants, even in the face of sales by those who have profited from the warrants.

When once these subscription warrants were made detachable from the related senior issue, they were bound to assume an existence and characteristics of their own. From a mere appendage of bond financing they developed into an independent form of security and a major vehicle of speculation during the madness of 1928–1929. It is an amazing fact that the option warrants created by one company, American and Foreign Power, reached an indicated market value in 1929 of over a billion dollars, a figure that exceeded the market value of all the railroad common stocks of the United States listed on the New York Stock Exchange in July 1932, less than three years later.

It will be necessary, therefore, to consider in a later chapter the characteristics of stock-purchase warrants, viewed as an independent speculative medium. At that time we shall discuss the relationships between the prices of such warrants and of the preferred and common shares of the same corporations.